



CREATIVITY, INNOVATION AND MVP

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CONCEPT OF CREATIVITY, INNOVATION AND OPPORTUNITY RECOGNITION

- Creativity is having the mental ability to think of novel combinations, concepts or solutions.
Example: A Nepali student creating a biodegradable water bottle made from bamboo pulp.
Innovation is the act of developing and implementing the creative idea into something usable and valuable.
Example: Turning the bamboo bottle idea into a production-ready design, packaging and distribution model.
Opportunity recognition is discovering market gaps where your creative idea or innovation can fit.
Example: Noticing that trekking regions produce tons of plastic bottles every season, creating a market for eco-friendly alternatives.



SOURCES OF BUSINESS IDEAS AND IDEA GENERATION TOOLS

Ideas do not appear magically. Entrepreneurs deliberately use tools and structured thinking to generate them.

Examples:

- Brainstorming session to identify problems in public transportation.
- Using SCAMPER to redesign a momo delivery service (Substitute packaging, Combine order-tracking, Modify fillings, etc.).
- Conducting customer interviews at Lakeside, Pokhara to observe tourist pain points.



TYPES OF INNOVATION

- Innovation can be applied across different dimensions.
Examples:
 - Product innovation: Electric scooters replacing petrol scooters.
 - Process innovation: Cloud-based food ordering systems reducing manual errors.
 - Business model innovation: Pathao and Indrive using fare negotiation rather than fixed pricing.



VALUE PROPOSITION AND MVP

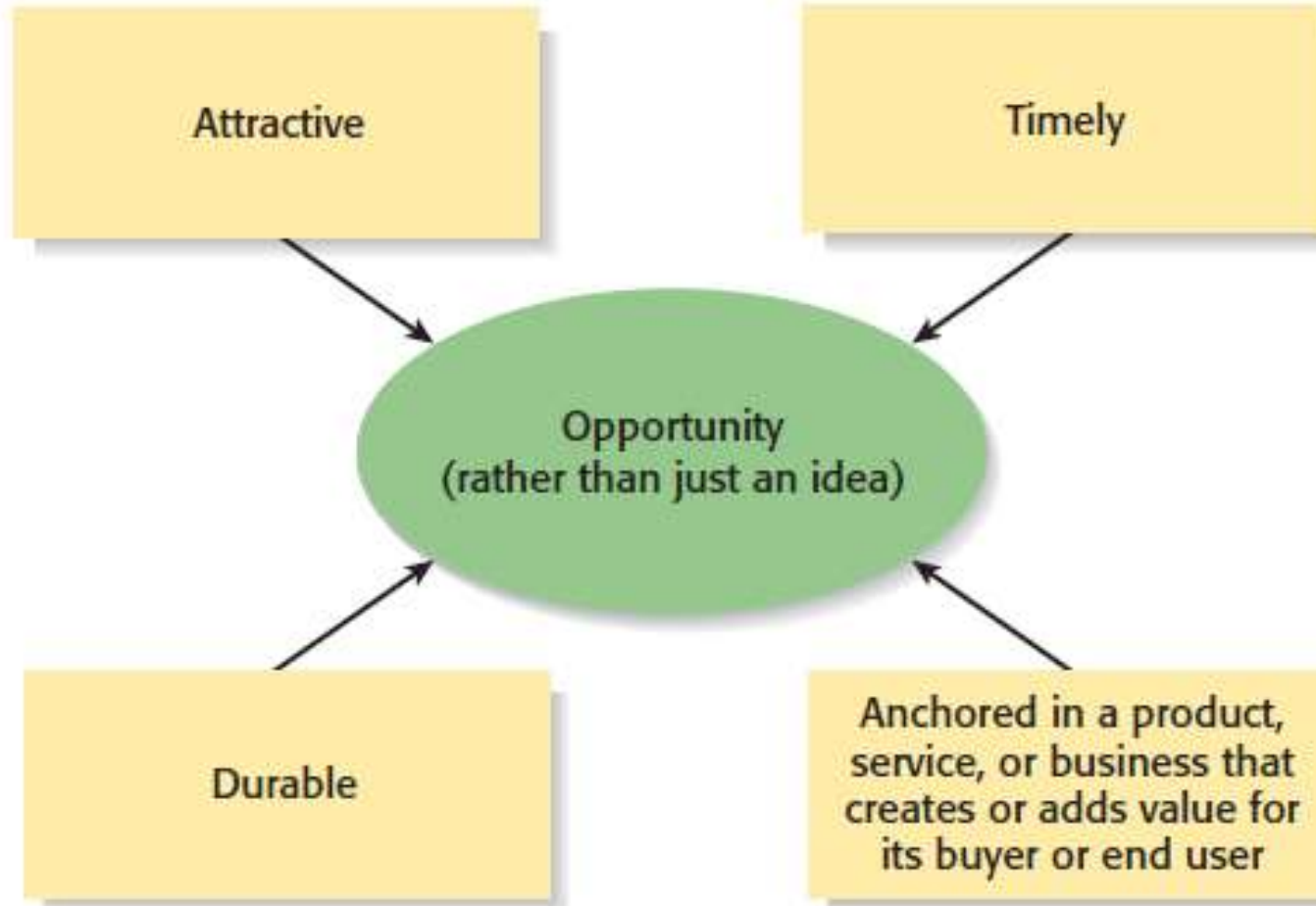
The core of entrepreneurship is providing value. Minimum Viable Product (MVP) helps entrepreneurs test their value proposition quickly without wasting resources.

Examples:

- A student team launching a mock landing page to validate interest in a new tutoring app.
- Starting with a WhatsApp-based service for home-delivered vegetables before building a full app.



OPPORTUNITY



An **opportunity** is a favorable set of circumstances that creates a need for a new product, service, or business.

An entrepreneur recognizes a problem or an opportunity gap and creates a business to fill it.



THREE WAYS TO IDENTIFY AN OPPORTUNITY

Observing Trends

Solving a Problem

Finding Gaps in the
Marketplace



OBSERVING TRENDS

- Monitoring technological, social and economic shifts
- Rise of generative AI tools like ChatGPT, Gemini, Claude
- Growth of automation in education, healthcare and finance
- Increasing demand for local-language AI solutions (Nepali AI models)
- Remote work, freelancing and micro-entrepreneurship becoming mainstream
- Digital payments, QR systems, online shopping becoming standard behavior



SOLVING A PROBLEM

- Many business ideas come from a problem entrepreneurs face personally
- Problems become opportunities when technology offers new solutions
- AI tools help analyze problems faster and offer intelligent solutions
- Solving problems that many people face leads to strong market fit

Examples

- **Students struggle with English writing → AI writing assistant for Nepali students**
- **Small shops need customer support → AI chatbots answer FAQs**
- **Farmers lack weather prediction → AI crop advisory systems**
- **Long queues at banks → automated AI-driven customer service**



FINDING GAPS IN THE MARKETPLACE

- Identifying areas where customer needs are not fully served
- Spotting categories where existing tools are too complex or expensive
- Recognizing underserved niche markets
- AI allows entrepreneurs to create targeted, specialized solutions
- Local gaps often create the biggest opportunities

Examples

- Lack of Nepali-language AI models → opportunity for local AI startups
- No personalized travel recommendation systems for Nepal → tourism AI assistants
- Limited AI tools for agriculture → soil health AI analysis, crop disease detection
- Few AI solutions for college administration → attendance automation, grading tools



UNDERSTANDING HOW ENTREPRENEURS RECOGNIZE NEW OPPORTUNITIES

- Entrepreneurs recognize opportunities by observing unmet needs, problems, and market gaps.
- Opportunities often appear when there is a mismatch between what people want and what currently exists.
- Successful entrepreneurs develop the ability to notice patterns, inefficiencies, and emerging trends.
- Opportunity recognition is linked to creativity, market knowledge, and continuous observation of the environment.



EXAMPLES

- Ride-sharing in Nepal: People struggled with unreliable taxis → creators saw an opportunity for Tootle and Pathao.
- Water purification: Many households lacked safe drinking water → this led to growth of home water filter companies.
- Tuition shortage near colleges → private coaching institutes appeared.
- Long queues at offices → online queue/token systems emerged.



HOW CREATIVITY FUELS INNOVATION

- Creativity is the starting point for innovation.
- Innovation happens when creative ideas are turned into practical solutions.
- Creative thinking helps entrepreneurs challenge assumptions and explore new options.
- Without creativity, innovation cannot happen; it is the imagination behind every new product or business model.



EXAMPLES

- Creativity: Thinking of using drones for delivery.
- Innovation: Designing a working drone delivery system for rural clinics.
- Creativity: Students inventing bamboo-based water bottles.
- Innovation: Setting up a small factory that converts bamboo pulp into biodegradable bottles ready for market.

PUT YOUR VIEWS

WHAT FRUSTRATION DID YOU FACE THIS WEEK? COULD IT BE TURNED INTO A BUSINESS OPPORTUNITY?

HOW DID CREATIVITY LEAD TO A NEW BUSINESS YOU USE DAILY? NAME ONE?





IDENTIFYING DIFFERENT SOURCES OF IDEAS

Sources of ideas include:

- Everyday problems faced by individuals
- Market trends (social, technological, economic)
- Observation of consumer behavior
- Changes in laws or regulations
- Personal hobbies, interests, and work experience
- Gaps in existing products or services
- Feedback, complaints, and suggestions from customers

EXAMPLES

- Growth of online education → demand for recorded video platforms.
- Increase in pet ownership → idea for affordable pet grooming services.
- Weak recycling practices → recycling pickup services.
- Growing health consciousness → home workout apps and diet planning startups.



PATIENTS LIKE ME: CONNECTING PATIENTS THROUGH SHARED EXPERIENCE

Founding Story

- Inspired by Stephen Heywood's ALS diagnosis
- Brothers Jamie and Ben witnessing gaps in practical medical information
- Creation of ALS Therapy Development Foundation (1999)
- Launch of PatientsLikeMe (2005)

Amyotrophic lateral sclerosis (a-my-o-TROE-fik LAT-ur-ul skluh-ROE-sis)



PURPOSE AND MISSION

- Enable people with serious diseases to connect
- Share real-life experiences and coping techniques
- Empower patients through community-driven knowledge
- **Unique Value Proposition**
- **Open sharing of medical experiences**
- **Real-world data from patients, not only clinical experts**
- **Supportive peer-to-peer communication**
- **Answers to practical, emotional, and day-to-day disease challenges**



HOW THE PLATFORM WORKS

- Patients track symptoms, treatments, side effects
- Data aggregated and visualized for community insights
- Direct interaction among patients experiencing similar conditions
- Real patient stories supplement medical advice

Examples of Value

- Disease progression insights (3 years, 5 years, 10 years)
- Drug experiences shared in detail
- Patients guide one another through fears, expectations, and side effects
- Creates emotional and informational support networks



IMPACT AND RECOGNITION

Over 70,000 members by 2010

Named one of 15 Companies That Will Change the World

Listed among 10 Business Models That Rocked 2010

Demonstrated transformative potential in patient-centered care

Revenue Model

- Selling aggregated, anonymized patient data to medical and pharma companies
- Data used to:
 - – Improve drugs
 - – Understand patient journeys
 - – Identify unmet needs
- Supporting pharma companies in clinical trial recruitment



BENEFITS TO PATIENTS

- Treatment improvements informed by patient data
- Clear expectations of disease progression
- Access to shared knowledge not available in hospitals
- Inclusion of patient voices in medical decisions

Expansion of Services

- Initially focused on life-threatening illnesses
- Expanded to infertility, depression, hearing loss, and more
- Ongoing platform development to handle growth



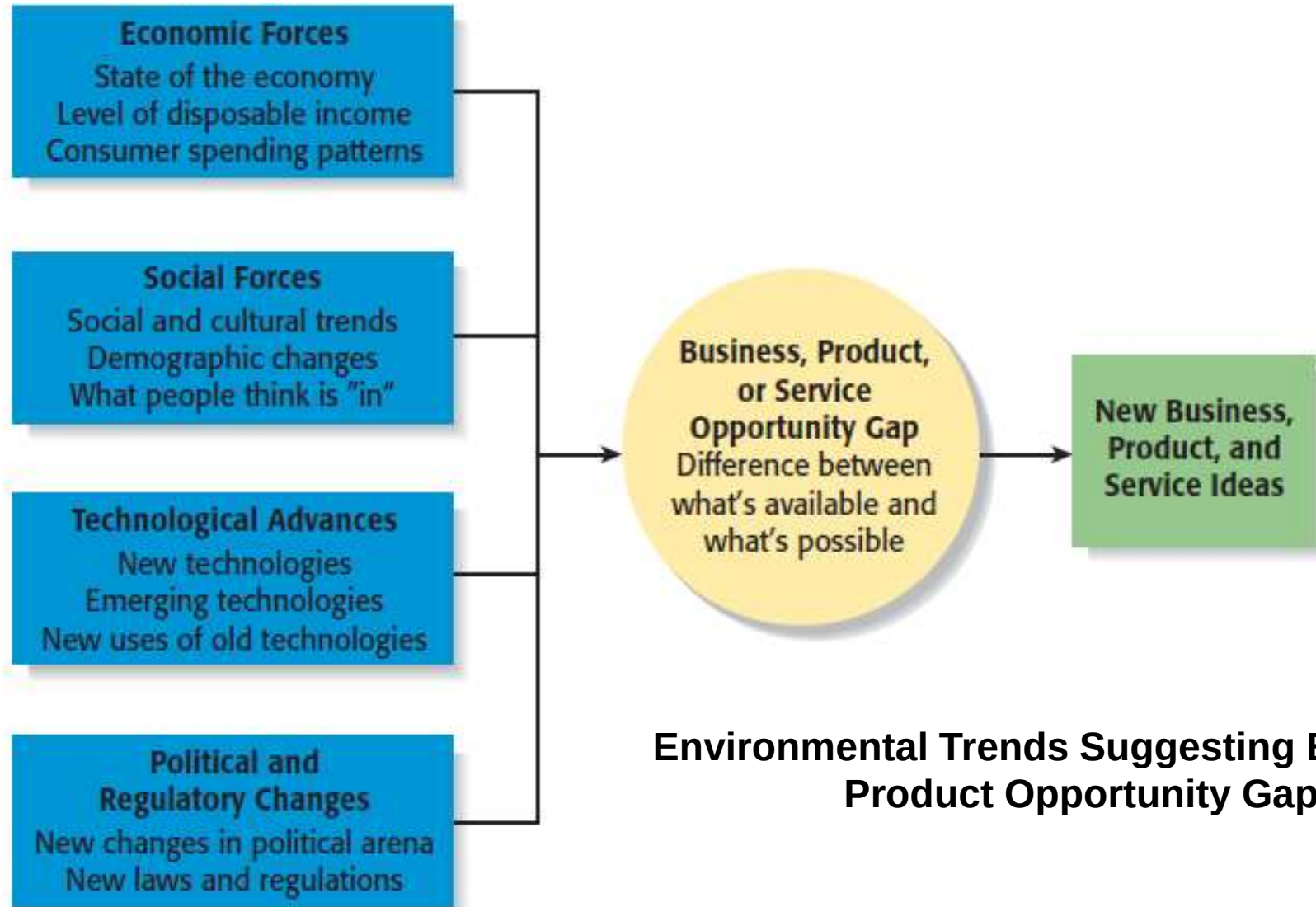
CHALLENGES AND RISKS

- Privacy concerns: insurance and employment risks
- Uncertainty in health-care regulations
- Managing rapid growth and technical scaling
- Balancing transparency with data protection

Strategic Goal

- Shift medical industry thinking toward patient-centered data
- Encourage products addressing physical, social, and emotional needs
- Integrate real-world patient experience into healthcare decisions

TYPES OF FORCES IN NEW VENTURE



Environmental Trends Suggesting Business or Product Opportunity Gaps



CHANGE AS A SOCIAL TREND

- Changes in social trends alter how people and businesses behave and how they set their priorities.
- These changes affect how products and services are built and sold (sample of the social trends)
 - Aging of baby boomers
 - The increasing diversity of the workforce
 - Increasing interest in social networks such as Facebook and Twitter
 - Proliferation of mobile phones and mobile phone apps
 - An increasing focus on health and wellness
 - Emphasis on clean forms of energy including wind, solar, biofuels, and others
 - Increasing number of people going back to school and/or retraining for new jobs
 - Increasing interest in healthy foods and “green” products



TABLE 1 **EXAMPLES OF HOW CHANGES IN ENVIRONMENTAL TRENDS PROVIDE OPENINGS FOR NEW BUSINESS AND PRODUCT OPPORTUNITIES**

Changing Environmental Trend	Resulting New Business, Product, and Service Opportunities	Companies That Resulted
Economic Trends		
Search for alternatives to traditional fossil fuels like gasoline	Ethanol, biodiesel, solar power, wind-generated power	Windspire Energy, Solix Biofuels, eSolar
Sales of upscale items at a discount	Deal of the day sites, discount stores, niche sites that sell specialized items at a discount	Groupon, LivingSocial, Gilt Groupe, e.l.f.
Social Trends		
Increased interest in different, tastier, and healthier food	Healthy-fare restaurants, organic foods, healthy-focused grocery stores	Chipotle, Great Wraps, White Wave, Whole Foods
Increased interest in fitness as the result of new medical information warning of the hazards of being overweight	Fitness centers, in-house exercise equipment, weight-loss centers, fitness-focused smartphone apps	Fitbit, Cool Palms, Runkeeper, Shapes for Women



One of the most pressing problems facing the United States and other countries is finding alternatives for fossil fuels. A large number of entrepreneurial firms are being launched to take on this challenge. Among the potential solutions is solar-generated power.

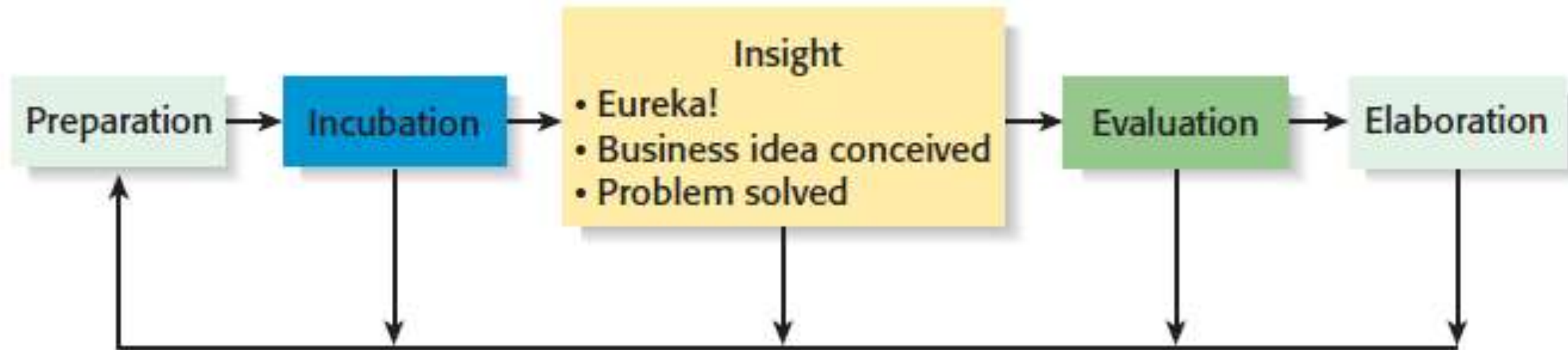


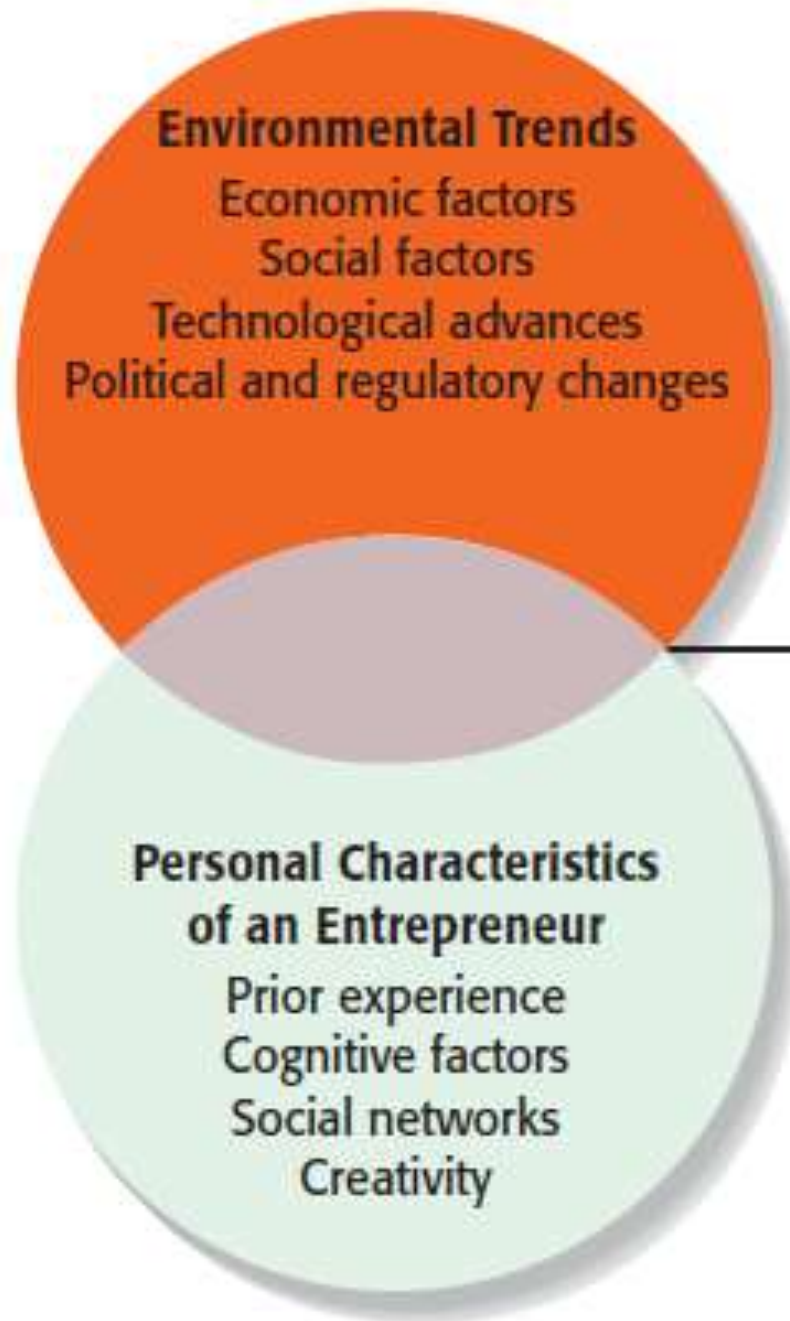


TABLE **BUSINESSES CREATED TO SOLVE A PROBLEM**

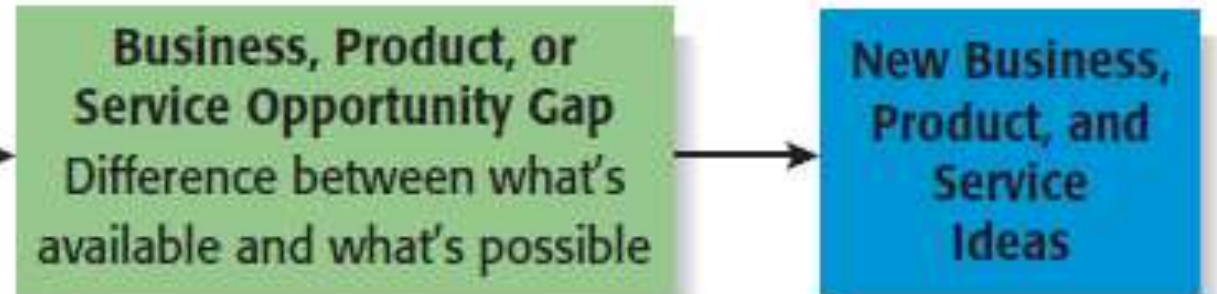
Entrepreneur(s)	Year	Problem	Solution	Name of Business That Resulted
Arlene Harris	2006	Many cell phones are too complicated and the buttons are too small for older people.	Design cell phones that are easy to use and have large buttons.	GreatCall
Sam Goldman and Ned Tozen	2008	Hundreds of millions of “base of the pyramid” consumers in developing countries lack access to reliable electricity.	Create affordable and durable portable solar-powered lanterns.	d.light
Roger Marsh	2009	Concrete block construction takes time, requires water; and, a building built with concrete blocks cannot be occupied immediately because the building’s mortar needs time to cure.	Alter traditional methods of concrete block construction to enable the assembly of the block to be completed in a manner that requires no water, has immediate occupancy, and is faster than current procedures.	Bolt-A-Blok Systems
Peter Chen, Yancey Strickler, and Charles Adler	2009	No easy-to-access platform for funding creative projects, like indie films, record albums, or food-related projects.	Create a Web-based “crowdfunding” platform that helps artists, musicians, and people involved in other creative projects raise money from the public.	Kickstarter
Tommy Patterson	2008	Men’s undershirts don’t fit well and don’t stay tucked in.	Create long-tailored undershirts that fit well and stay tucked in.	Tommy John

FIVE STEPS TO GENERATING CREATIVE IDEAS





The Opportunity Recognition Process



TECHNIQUES FOR GENERATING IDEAS

Entrepreneurs generate more ideas than actual opportunities

- Idea generation is a broad exploratory stage.
- Many ideas are created to find the best way to pursue an opportunity.





BRAINSTORMING

- A widely used method for generating many ideas around a specific problem.
- Can be informal (individual idea listing) or formal (moderated sessions).
- Formal brainstorming rules:
 - No criticism allowed
 - Freewheeling encouraged
 - Quantity over quality
 - Combination and improvement of ideas encouraged
- Goal: Encourage free, uninhibited flow of ideas before filtering and analysis.
- Example: Proactive founders used dinner-party brainstorming with experts.



FOCUS GROUPS

- Small group of 5 to 10 individuals selected based on their relationship to the topic.
- Works best after initial ideas from brainstorming when refinement is needed.
- Moderated discussion used to uncover new insights, preferences, and unmet needs.
- Effective due to interactive, give-and-take conversation.
- **Example: Starbucks-like shop discovering customer demand for larger discounted coffee bags.**



LIBRARY AND INTERNET RESEARCH

- Helps merge early idea concepts with real-world information.
- Libraries offer industry magazines, trade journals, databases, and reference librarians.
- Databases like IBISWorld can spark ideas or validate existing ones.
- Internet searches (e.g. “new business ideas”) provide trends and inspiration.
- Tools like Google/Yahoo Alerts keep entrepreneurs updated on their topic of interest.
- **Following experts or industries on Twitter (using hashtags) helps track emerging trends.**



OTHER TECHNIQUES USED BY FIRMS

- Customer advisory boards provide direct feedback and ideas.
- Anthropological approaches such as day-in-the-life research reveal unmet needs.

Example: Intuit sends teams to observe customers using its software to inspire new features.

Overall Insight

- Idea generation is multi-method and iterative.
- Combining brainstorming, group input, research, and real-world observation leads to richer, higher-quality business ideas.

THANK YOU

Any Questions

